

sell your two-story house and pay off the mortgage. Rolling over the equity in your home can be smart when you're working. You defer capital gains tax and deduct interest and property taxes. But payments on a place the size of South Fork can break someone living on \$40,000 a year. Chapter 4 tells how to sell the house and get off the treadmill, minimizing taxes along the way.

Chapter 4 goes on to explain how to invest the proceeds in staggered one-year certificates of deposit to protect against a drop in interest rates and earn high cash income when rates go up. It's a boring way to invest. But the CDs will throw off plenty of money for you to live on. They're guaranteed. You'll never spend a single agonizing minute thinking about your investments. You'll never have to collect rent, prepare a complicated tax return, or check up on the market for rare coins, Picasso prints, or Japanese yen.

When I retired I went to see my broker to tell him my plans. Like any good investment counselor, George listened to what I wanted from my investments and to my strategy for getting there. Then he tried to pick holes in it. That's his job, and he's good at it. What about inflation? What about putting 20 percent to 50 percent in common stocks? What about playing with 10 percent in high-risk assets? At the end of the hour he was convinced that my plan made sense for me. Now George rolls the CDs when they come due.

As I said before, the advice in chapter 4 goes against conventional wisdom. Sage old men say never sell a piece of real estate. I say sell. Business schools say look for a 20 percent threshold return. I say take CDs at 8 percent or whatever. Wall Street writers say put between 20 percent and 50 percent of your net worth into stocks. I say forget the stock market. Accountants say buy tax shelters. I say reduce your income so you don't have to worry about taxes.

Although the rules may be counterintuitive, they're easy to understand. They're designed for a life of freedom. Follow them and you'll have money to wander around the world,